

THE CONSUMER ANGLE

The interesting part is how the shift to 5G in India has quietly taken place at the consumer's end. Satish Meena, an independent technology analyst, points out that a quarter of all smartphones currently used in India are 5G compatible. Expectedly, a large proportion of the user base is the younger audience, for whom technology is a big attraction.

"By the end of this year, the proportion of 5G handsets will easily be at 60-70 per cent," says Meena. As usage takes off on the back of this new technology, he sees the emergence of new areas. "Content consumption will be big as live streaming becomes easily accessible. Besides, there is an opportunity emerging in live shopping, which is very popular in China," he says. Simply put, you buy products that are promoted on live streaming. Finally, there is the new way of hybrid working, for which a reliable high-speed connection is critical.

However, 5G won't be made available across the country in one stroke. Going by recent announcements, telcos are expected to take a gradual approach by first rolling out services in the metros and then the rest of the country. That is no different from how 3G and 4G panned out—in fact India is unique because all three technologies could well exist simultaneously for a while. For the user base, it is not only about watching OTT platforms or an IPL match live. Dalal says 5G has an important role in achieving digital inclusion goals, among which are broadband for all, smart cities and smart agriculture. "The best example would be healthcare through remote patient monitoring using AR and VR, among other things."

The entry cost or the pricing of 5G handsets will be closely watched. According to Meena, the average selling price of a 4G handset is less than ₹20,000 today, while the corresponding number for 5G is around ₹24,000. "It makes sense



"Debt [of telecom operators] will increase but with the payment terms relaxed or distributed over 20 years, the stress on cash flow may not be material"

NEERAV DALAL

AVP (RESEARCH), MIB
SECURITIES INDIA



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SATISH MEENA

INDEPENDENT
TECHNOLOGY ANALYST

for consumers to go for a 5G handset and with more volumes, prices will inevitably drop." Given the large number of payment options (EMIs, for instance), handset manufacturers are unlikely to spare any chance to get a healthy slice of this market. In terms of speed, the thumb rule for 5G is 100 Mbps, though that will vary depending on how much money is invested on the network. The broad consensus for 4G is that it is in the range of 60-70 Mbps.

From paying over ₹200 per GB to rock-bottom prices for 4G data (for instance, today's consumer gets free domestic calls with 2GB of data daily at just over ₹700 for a three-month period), the outgo for 5G is something the operators need to look at carefully. Tariffs have gradually increased over the past couple of years (by around 20 per cent) and it may not be too difficult to take tough decisions in a market dominated by three players. The question is, can tariffs be raised in the name of 5G alone? Choksey thinks a subscription programme may be one tack, which creates a new revenue stream. "A large player like Jio can now become a host and offer many services to its base. The payment arrangement will be between Jio and the app provider." That is not very different from the aggregator approach that JioTV has, with the consumer paying for what she wants. "The consumer will be charged a reasonable price for 5G and can pick and choose what they want." If indeed a subscription model is worked out, consumers will have little reason to complain.

As things stand, there is a good chance that 5G adoption in India may follow the path taken by its predecessors; both 3G and 4G took a while to get moving but once handset prices and tariffs moved south, there was no looking back. Those who have cut the big cheques will be hoping for an encore with 5G. **BT**

@krishnagopalan